

MWBE & Procurement summary

Challenges & Opportunities



Executive summary

- Procurement Executives & MWBEs are **aligned on social benefit** of increasing supplier diversity; opinion differs re: other benefits
- **MWBEs feel disadvantaged** when it comes to supplying large retailers due to networking, financing, and order quantity requirements, as well as prejudice
 - 63% believe **network is crucial**, but only 37% have access to a strong network
 - **Financing challenges** with banks exist despite orders from retailers in hand
 - **Aggressive order quantities** represent a significant barrier to entry, only 38% confident in ability to meet minimums
 - **Victims of prejudice** (94% surveyed) from procurement teams / banks
- Procurement teams need to **change approach** in order to increase supplier diversity
 - Only 30% Retailers are **tracking supplier demographics**; only 25% **actively seeking** out diverse suppliers
 - Only 17% of retailers have **MWBE financing initiatives** (incl. investments) in place
 - **Lingering (and unfounded) perception** that increasing supplier diversity will negatively impact risk
 - Less than half of retailers had **unconscious bias training** in the last 2 years
- Input from both MWBEs and Procurement Executives have informed a list of **emerging opportunities**
 - **Develop and/or promote a network** for MWBE suppliers
 - **Reimagine procurement processes** to be more inclusive to target MWBE owners
 - **Invest in funds** to help MWBE owners secure the capital needed to grow their business
 - **Revisit minimum order quantities** to help MWBE suppliers scale and grow into larger agreements
 - **Invest in unbiasing training** for procurement professionals

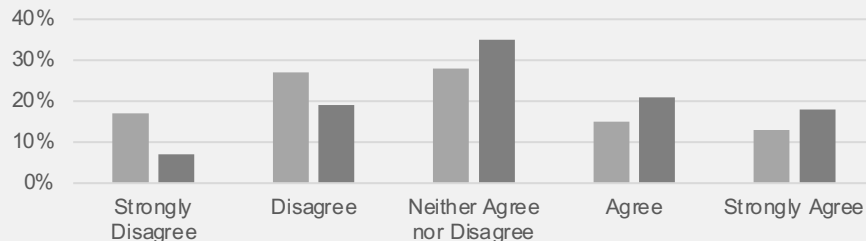
Procurement Executives & MWBEs are aligned on social benefit of increasing supplier diversity; opinion differs re: other benefits

Increased diversity leads to positive social outcomes



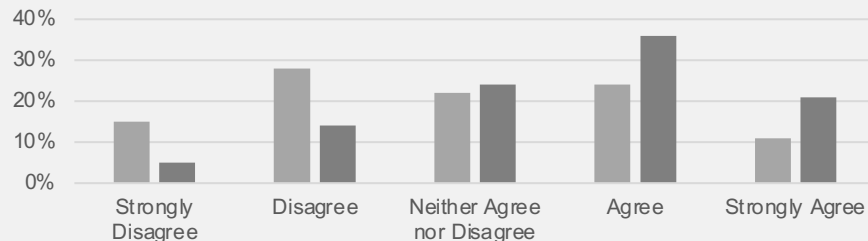
Both Procurement Execs (83%) and MWBE owners (93%) agree that increasing supplier diversity would positively impact Social outcomes

Increased diversity minimizes supply chain risk



28% Procurement Execs believe increasing diversity minimizes supply chain risk; 39% of MWBE owners agree

Increased diversity leads to positive financial outcomes



57% MWBE owners agree that increasing diversity leads to +ve financial outcomes; only 35% of Procurement Execs agree

MWBEs feel disadvantaged when it comes to supplying large retailers due to networking, financing, and order quantity requirements

- **Lacking network** to get opportunity to partner with Retailers
 - *63% believe network is crucial, but only 37% have access to a strong network*
- **Inflexible procurement processes** (e.g. in-person meetings) hinder opportunity
 - *“I can’t really fly to the middle of nowhere for a 20 minute meeting with a junior buyer. I’m trying to see if they can meet via. video call, but they seem pretty rigid”*
- **Financing challenges** with banks despite letters of intent / orders from retailers, lack of financing options from retailers themselves
 - *“We aren’t able to commit to the minimum order quantity that many of the big retailers want – we just don’t have the working capital”*
- **Aggressive minimum order quantities** represent a significant barrier to entry, with only 38% surveyed confident in their ability to meet minimum quantities
 - *“We aren’t able to commit to the minimum order quantity that many of the big retailers want – we just don’t have the working capital”*
- **Victims of prejudice** (94% surveyed) from procurement teams / banks
 - *“I don’t say this lightly, but it felt that we had to clear a bar that was a lot higher than others”*

Procurement teams are constrained by legacy procurement practices; need to change approach in order to increase supplier diversity

- **Lack of focus** on supplier demographics, in part due to absence of demographic tracking
 - *Only 30% Retailers are tracking supplier demographics; only 25% actively seeking out diverse suppliers*
- **Smaller pool of MWBE proposals** reaching procurement teams than hoped
 - *“We were being approached (or referred to) by MWBEs much less than I’d have expected”*
- **Minimum order quantities** prevent increasing supplier diversity, linked to access to finance; only 17% of retailers have MWBE financing initiatives (incl. investments) in place
 - *“MWBEs in particular had a tough time meeting our minimum order requirements [due to] financing. We are trying to determine whether to lower the minimum order requirements and/or to help MWBEs with financing.”*
- **Lingering (and unfounded) perception** that increasing supplier diversity will negatively impact risk, believed by 44% of survey participants
 - *“I’m willing and excited to do it, but we need to build a model that balances risk and reward.”*
- **Prejudice/bias** amongst procurement staff; less than half of retailers having unconscious bias training in the last 2 years
 - *“We did business with an MWBE a couple of years back. They promised us the world, assured us that they’d be a great partner, but things kind of imploded. It was unfortunate, really.”*

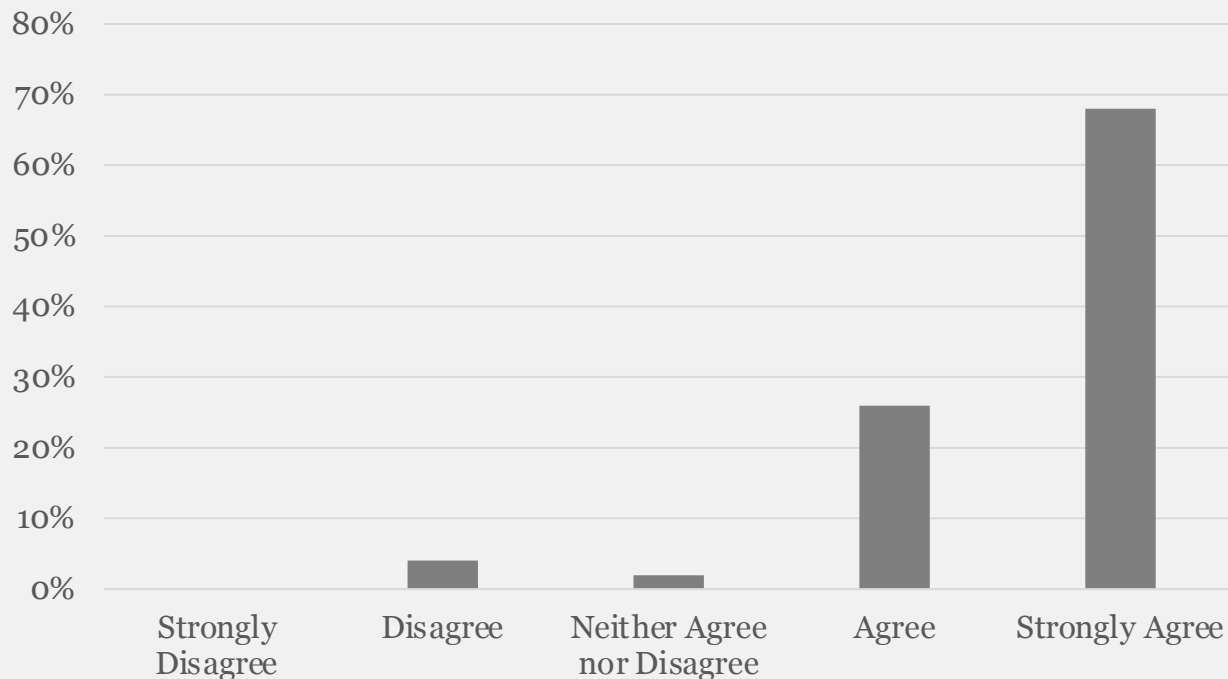
Input from both MWBEs and Procurement Executives have informed a list of emerging opportunities

- **Develop and/or promote** a network for MWBE suppliers
- **Reimagine procurement processes** to be more inclusive to target MWBE owners
- **Invest in funds** to help MWBE owners secure the capital needed to grow their business
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Appendix

MWBE suppliers have experienced prejudice in working with retailers and/or financial institutions

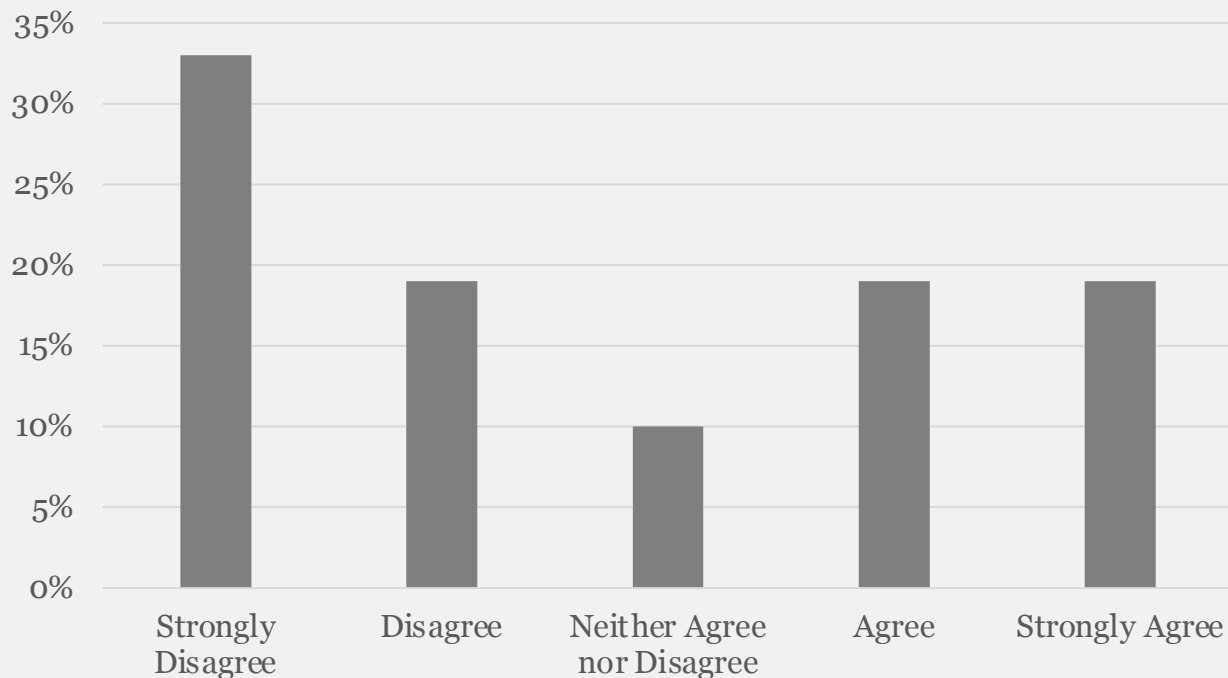
Prompt: We have been the victims of bias and/or prejudice (conscious or unconscious) in our dealings with target retailers and/or financial institutions



94%
**Agree or
Strongly Agree**

MWBE suppliers are not able to finance minimum order quantities

Prompt: We are confident in our ability to meet minimum order quantities with our current financing

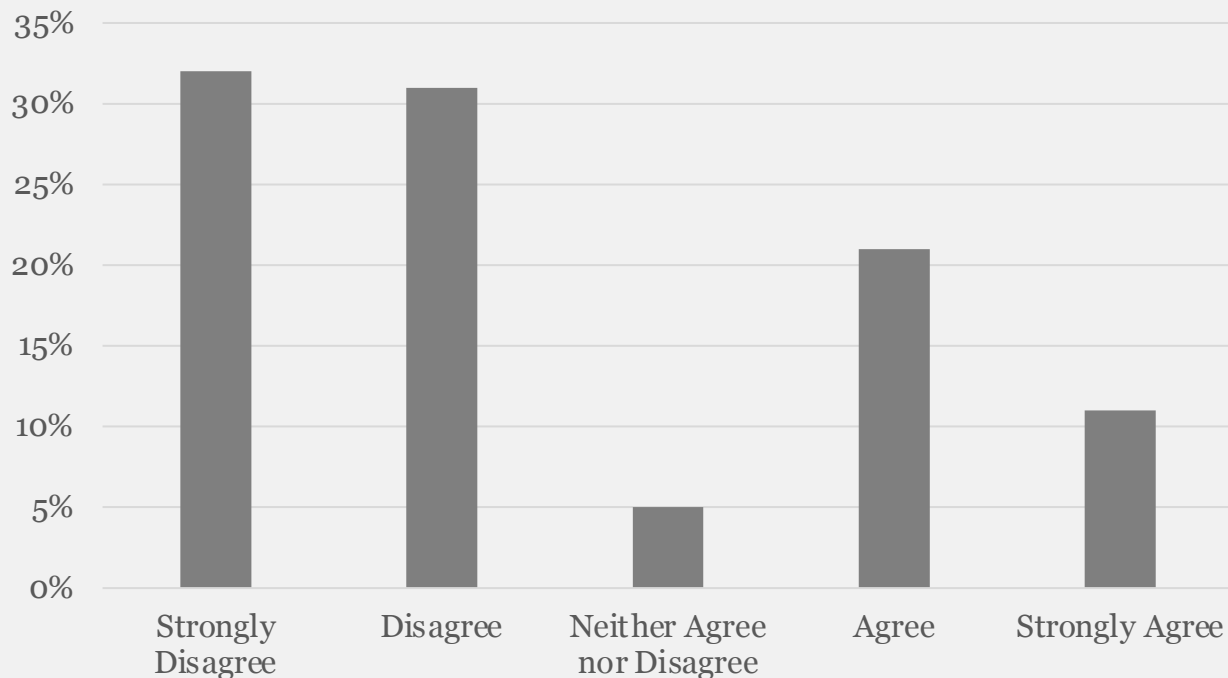


52%

**Disagree or
Strongly
Disagree**

MWBE suppliers do not have access to capital to be competitive in the procurement process

Prompt: We have access to the capital we need to be competitive and secure agreements with target retailers

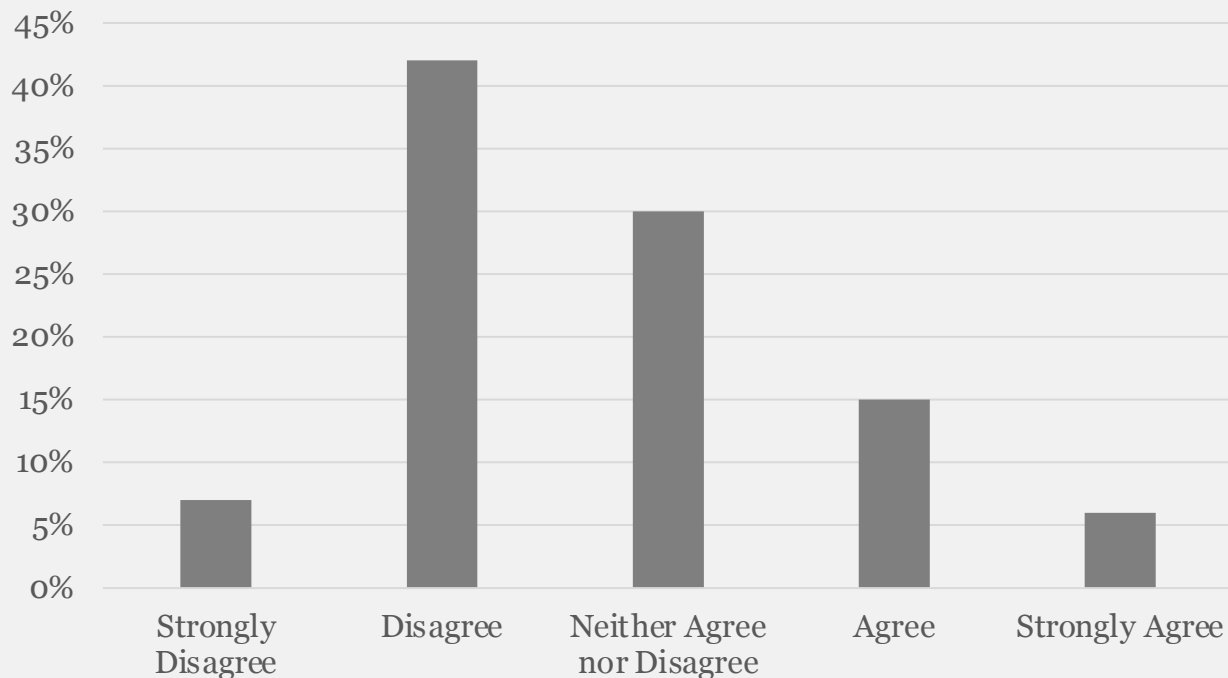


63%

**Disagree or
Strongly
Disagree**

Procurement executives do not agree that they have diverse and inclusive supply chains

Prompt: Our supplier base is diverse and inclusive

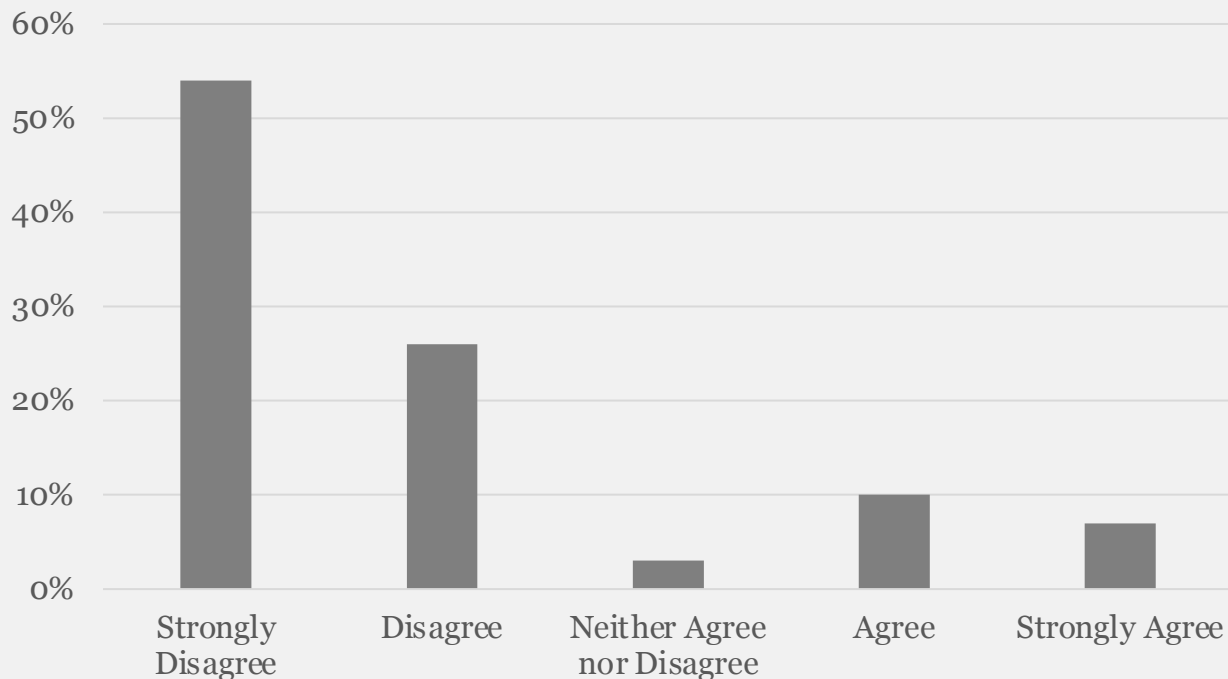


21%

**Agree or
Strongly Agree**

Procurement executives claim that Retailers do not have financing initiatives in place to help MWBE suppliers

Prompt: We have programs in place to help MWBEs with financing



17%
**Agree or
Strongly Agree**